Figure 23.3 (weekly scale) illustrates the support area often promoted by diamond bottoms, in this case at $10. Although support varies from diamond to diamond, when it appears after a diamond bottom, it is usually near the base of the diamond.

Another area of support commonly appears when the stock throws back to the level of the breakout. The figure shows an example of this (if you ignore the weekly scale and the requirement that a throwback must return to the breakout price within a month).

During a throwback, price climbs away from the diamond after the breakout, reverses course, and heads lower. Support meets the stock at the apex of the right half of the diamond (think of the apex of a symmetrical triangle), usually stopping briefly near the breakout price, then price turns around again and climbs. A throwback to the diamond happens about half the time and represents another opportunity to initiate a trade or add to an existing position.

Figure 23.4 shows another example of a well-formed diamond bottom. Quarterly earnings were released on 9 May and the stock reacted at D by forming a breakaway gap on high volume. The stock formed a two-diagonal diamond (more about that later) at ABC with a breakout at E. Price pulled back to F and bottomed at G, 11% below the breakout price. Measured from the close the day before gap D, the stock lost 37% of its value. That was the reaction to just *one* earnings report that the market didn't like.

However, the stock recovered. In fact, the continuation gap at H, opposite D, was the next quarterly earnings report. The two gaps set off the diamond as an island bottom reversal. The stock continued to recover as if the D earnings had never happened. Traders or investors who sold as price dropped to G were probably kicking themselves and yelling at the company when price climbed to a new yearly high in November.

Focus on Failures

Diamonds have one type of failure that I call a 5% failure. A 5% failure happens when price breaks out and travels no more than 5% before reversing. Price after the reverse may move more than 20% or close at the